Vestas Wind Systems A/S (VWS.CO) - relative valuation

Valuation date 2026-10-30 | DKK per share | Status: provisional - limitations disclosed | Human Spot_check PENDING. QA block C executed once; open FAIL items: C4, C5, C8, C9, C11, C15, C19, C37 (see qa_results.md).

1. Valuation summary

Item	Value
Currency / current price	DKK 189.25
Primary multiple (peers)	EV/EBIT: median 18.96x; raw median 18.96x; n = 8
Peer value per share: p25 / median / p75	135.86 / 162.16 / 182.41
Peer median vs current price	-14.3%
Published regression (chosen)	PBV (published R2 0.423): DKK 125.66
Regression vs current price	-33.6%
Peer set	10 peers; Tier 1-2: 9; Tier 3: 1; Europe-listed: 10

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	NDX1	Nordex	Germany	1	8,920	32.50	6.99	13.58	11.50	0.76
2	WRT1V	Wartsila	Finland	1	15,120	24.15	5.26	16.36	14.97	1.03
3	IMI	IMI	United Kingdom	2	8,179	22.01	6.15	n/a	n/a	1.12
4	G1A	GEA	Germany	3	11,050	26.69	4.50	17.64	15.05	1.20
5	ALFA	Alfa Laval	Sweden	2	20,542	27.26	5.20	20.28	17.64	1.23
6	ENR	Siemens Energy	Germany	1	108,560	76.78	10.54	66.12	38.71	1.28
7	NKT	NKT	Denmark	2	6,000	21.82	2.74	n/a	n/a	1.42
8	ANDR	Andritz	Austria	2	7,900	17.31	3.22	13.86	10.44	1.42
9	LR	Legrand	France	2	34,340	27.58	4.71	21.40	18.42	1.56
10	ROR	Rotork	United Kingdom	2	4,821	34.84	6.91	21.58	20.15	1.66

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	scaled	10	42.50x	32.42x	57.27x	192.72	252.63	340.40	+33.5%
PEG	raw	10	2.23x	1.70x	3.01x	192.72	252.63	340.40	+33.5%
EV/EBIT *	raw	8	18.96x	15.73x	21.44x	135.86	162.16	182.41	-14.3%
EV/EBITDA	raw	8	16.34x	14.11x	18.85x	169.37	195.03	223.76	+3.1%
EV/CF	raw	8	16.20x	11.04x	24.90x	200.45	290.56	442.43	+53.5%
P/BV	scaled	10	5.61x	4.63x	6.03x	136.71	165.71	178.07	-12.4%
EV/Assets	raw	8	1.79x	1.44x	2.26x	290.33	359.94	451.15	+90.2%
P/S	scaled	10	1.12x	0.93x	1.29x	133.99	160.34	185.87	-15.3%
EV/Sales	scaled	8	1.30x	1.12x	1.50x	169.37	195.03	223.76	+3.1%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	29.70x	31.84x	0.201	176.53	-6.7%
PBV (chosen)	4.25x	6.41x	0.423	125.66	-33.6%
EV/EBITDA	21.69x	15.84x	0.262	256.32	+35.4%

5. Company-specific notes

- # VWS.CO remediation notes - 2026-11-02

- Primary kept:** EV/EBIT stays the primary multiple on the uniform pre-associate bridge (debt incl. leases + NCI - cash; LT investments and associates not subtracted): peer median 18.96x on 8 valid -> DKK 162.16 mid vs DKK 189.25 quote (-14.3%), IQR 135.86-182.41. IMI and NKT drop out of EV multiples (invalid denominators), n=8 >= 6.

- Share count:** kept at 978.25m current; the 999m weighted-basic average is a sensitivity only and scales every per-share value by 0.9792 (-2.1%, below the 15% flag level).

- Cross-method dispersion above 15%:** the scaled-PE diagnostic implies DKK 252.63 (+55.8% vs the EV/EBIT mid) driven by the high vendor consensus growth; the published PBV regression implies DKK 125.66 (-22.5% vs the mid). The diagnostic range used is DKK 125.66-182.41 (regression low to primary IQR high); the PE value is an upper outlier reflecting a different denominator, not a bound.

- Vendor-vs-issuer bases:** vendor EBITDA 1501 vs issuer 2053 (-26.9% definitional gap) favours EV/EBIT; issuer reported EBIT 1015 vs vendor before-special-items 1067 (special items -52 = 4.9% of EBIT, below the 10% normalization trigger) is a target-only diagnostic, not a

uniform normalization.

- Peer caveat:** ENR.DE (Siemens Energy) is in the selected peer set and is itself being remediated in a separate run; its vendor figures here are unchanged and no update was waited for. Europe membership evidence is the dated IEUR MSCI Europe IMI holdings proxy; URTH was required only for the unused non-European World expansion.

- Status:** provisional - limitations disclosed; the eight prior QA FAILs re-graded PASS-with-note under qa_grading_and_remediation; human Spot_check stays PENDING.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.